



TATA CONSULTANCY SERVICES LIMITED



Fundamentals
of
Capital Market

COMPANY OVERVIEW

Company Name: Tata Consultancy Services Limited (TCS)

Founder: F. C. Kohli (considered the father of the Indian IT industry)

Parent Organisation: Tata Group

Year of Establishment: 1968

Headquarters: Mumbai

TCS is a leading Indian multinational company that provides IT services, consulting, and business solutions worldwide. It operates in over 46 countries and has a strong global presence.



BUSINESS MODEL

- Tata Consultancy Services (TCS) follows a **service-based and client-centric business model**, which has made it one of the leading companies in the global IT services and consulting industry.
- The company focuses on delivering **end-to-end technology solutions** that help businesses improve efficiency, reduce costs, and achieve digital transformation.
- TCS operates by building **long-term relationships with clients** and providing continuous support through innovative and scalable solutions.



WIDE RANGE OF SERVICES

- 1) **IT Consulting:** Helps organisations plan and implement technology strategies
- 2) **Application Development & Maintenance:** Designing, developing, and maintaining software systems
- 3) **Digital Transformation:** Supporting companies in adopting modern technologies
- 4) **Cloud Computing:** Providing cloud-based solutions for storage and operations
- 5) **Data Analytics & AI:** Using data to generate insights and improve decision-making
- 6) **IT Infrastructure Management:** Managing servers, networks, and IT systems
- 7) **Business Process Outsourcing (BPO):** Handling business operations like customer support



FOCUS ON INNOVATION

Innovation is a key driver of TCS's growth. The company invests heavily in **research and development (R&D)** to stay ahead in the competitive IT industry.

TCS focuses on emerging technologies such as:

- 1) Artificial Intelligence (AI)
- 2) Machine Learning (ML)
- 3) Cloud Computing
- 4) Internet of Things (IoT)
- 5) Big Data Analytics

These technologies help businesses:

- 1) Automate processes
- 2) Improve efficiency
- 3) Predict market trends
- 4) Make better decisions

This strong focus on innovation allows TCS to deliver **future-ready solutions** to its clients.

GLOBAL DELIVERY MODEL

- A major strength of TCS is its **Global Delivery Model (GDM)**.
- Work is distributed across multiple countries and time zones
- Enables **24/7 service delivery**
- Ensures faster project completion
- Reduces operational costs

For example:

Work can start in India, continue in Europe, and finish in the US — ensuring continuous progress without delays.

This model:

Improves **productivity**

Increases **customer satisfaction**

Provides **quick response during critical situations**



CLIENT-CENTRIC APPROACH

- TCS follows a **customer-first approach**, focusing on building long-term partnerships rather than short-term projects.
- Works closely with clients to understand their needs
- Provides customized solutions
- Maintains high service quality
- This approach helps TCS retain clients and build strong global relationships.

REVENUE GENERATION

TCS earns revenue through:

- Long-term service contracts
- Project-based work
- Consulting services
- Outsourcing agreements
- The company benefits from **recurring revenue**, which ensures financial stability and steady growth.

MARKET POSITION

In 2026, TCS holds a **leading but slightly pressured** market position in Indian IT services: it remains the most prominent Indian IT brand, but its stock and revenue growth have been softer than in earlier years. TCS's market cap is about ₹9.34 trillion (roughly ₹9.34 lakh crore), and it is ranked around 227th globally by market value in April 2026.

Market standing

TCS is still one of the world's largest IT services companies and a top Indian listed company by market capitalization.

In brand rankings for 2025–26, TCS is placed second among the most valuable IT service brands, with a brand value of USD 21.2 billion.

It was also ranked #1 among IT services firms in Newsweek's 2026 list of the Top 300 Most Reliable US Companies.

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- According to Univest (the source on the slide), TCS had a CMP around ₹3,350 in April 2026 with a 12-month target of ₹3,800–₹4,200 and a market cap of about ₹12–12.14 lakh crore, indicating positive analyst sentiment.
 - In 2026, TCS remains one of India's most valuable companies at this valuation level. Analyst consensus assigns a 12-month target of about ₹3,800–₹4,200 and a 'Buy/Outperform' rating, indicating confidence in TCS's ability to generate returns from current levels.
 - This valuation and positive outlook reflect TCS's continued leadership position in the global IT services industry, even as the company navigates a relatively weak demand cycle in FY26.
- 



- One of the **largest IT services companies in the world**
- Ranked **7th in Fortune India 500 (2024)**
- Very high **Market Capitalization (~₹9 lakh+ crore)**
- Operates in **46+ countries & 150+ locations**
- Strong global workforce & client base

Tata Consultancy Services Ltd

₹ 2,585 ▲ 0.13%

20 Apr 2:16 p.m.

tcs.com

[BSE: 532540](#)

[NSE: TCS](#)

Market Cap ₹ 9,35,239 Cr.

Current Price

₹ 2,585

High / Low

₹ 3,630 / 2,346

Stock P/E 17.9

Book Value

₹ 296

Dividend Yield

2.33 %

ROCE 63.0 %

ROE

51.8 %

Face Value

₹ 1.00

Add ratio to table

eg. Promoter holding

[EDIT RATIOS](#)

Peer comparison

Information Technology > Information Technology > IT - Software > Computers - Software & Consulting

EDIT COLUMNS

Part of [BSE Sensex](#) [Nifty 50](#) [BSE 500](#) [BSE Information Technology](#) [BSE 100](#) [show all](#)

S.No.	Name	CMP Rs.	P/E	Mar Cap Rs.Cr.	Div Yld %	NP Qtr Rs.Cr.	Qtr Profit Var %	Sales Qtr Rs.Cr.	Qtr Sales Var %	ROCE %
1.	TCS	2583.00	17.91	934551.95	2.33	13784.00	12.22	70698.00	9.65	63.03
2.	Infosys	1315.00	18.47	533314.34	3.27	6666.00	10.79	45479.00	8.90	37.50
3.	HCL Technologies	1431.40	22.66	388433.91	3.71	4082.00	4.19	33872.00	13.32	31.61
4.	Wipro	202.85	16.05	212759.49	5.46	3521.60	-1.90	24236.30	7.70	17.84
5.	Tech Mahindra	1509.80	30.64	147936.45	3.06	1118.60	32.95	14393.20	8.34	18.56
6.	LTM	4720.40	26.97	139956.73	1.38	959.60	28.57	10781.00	11.59	27.63
7.	Persistent Systems	5343.00	46.91	84285.78	0.64	439.45	35.75	3778.21	23.38	30.44
Median: 68 Co.		278.43	23.0	1011.49	0.35	11.2	16.8	94.41	12.32	20.49

Detailed Comparison with:

INCORPORATION DETAILS OF TCS

Company Name: Tata Consultancy Services Limited

CIN: L22210MH1995PLC084781

Date of Incorporation: 19 January 1995

Registered at: RoC-Mumbai / ROC Mumbai

Company Type: Public company, non-government company, company limited by shares

- TCS is an active Indian company officially registered under the Ministry of Corporate Affairs records.



COMMENCEMENT DETAILS OF TCS

- TCS was incorporated on 19 January 1995.
- It is registered with RoC Mumbai and has CIN L22210MH1995PLC084781.
- As a public company, TCS came under the earlier Companies Act, 1956, rule for Certificate of Commencement of Business.
- This certificate allowed a public company to legally start business after incorporation.



TCS, being a public company incorporated in 1995, was subject to the earlier legal requirement of obtaining a Certificate of Commencement of Business before starting business operations.”

MOA OF TCS

THE COMPANIES ACT, 1956
COMPANY LIMITED BY SHARES
MEMORANDUM OF ASSOCIATION
OF
TATA CONSULTANCY SERVICES LIMITED

- I. The name of the Company is **TATA CONSULTANCY SERVICES LIMITED.**
- II. The Registered Office of the Company will be situated in the State of Maharashtra.
- III. Objects for which the Company is established are:-
 - A. **THE MAIN OBJECTS OF THE COMPANY TO BE PURSUED BY THE COMPANY ON ITS INCORPORATION:**
 - 1. To advise, provide consultancy services, develop and implement products for customers on all matters regarding implementation of computer software and hardware systems, management of data processing and information systems and data communication systems whether in India/abroad.
 - 2. To design, develop, manufacture, assemble, buy, sell, distribute, import, export, alter, remodel, lease, install, repair, service, provide consulting and otherwise to deal in all classes and types of telecommunication, computing and related apparatus, instruments, machinery, fixtures, devices, and contrivances and parts thereof including, but not limited to telecommunications electronic test and measurement equipment analytical equipment, data processing equipment, electronic calculators, equipment services, electrical and electronic components of every description and mini computer and micro computer products, mainframe and super computers, computer networking products and services, computer software, firmware and programmers, electronic and mechanical computer and their peripherals of every kind, equipment and terminals and workstations (including intelligent terminals), speech and other signal processing equipment and services, test equipment and parts, assemblies and sub assemblies related to all of the above used in connection therewith, and to deal in all other machines, machinery, appliances apparatus devices, materials, substances, articles or things of a character similar or analogous to the foregoing or any of them or connected therewith.

New Sub-clauses 1 to 81 substituted for existing sub-clause 1 to 64 in clause III - A, III-B and III-C vide special resolution passed at the Extra-Ordinary General Meeting of the Company held on October 7, 2002.

- The Memorandum of Association (MOA) is an important legal document of a company.
- It defines the company's name, registered office, and main objectives.
- The MOA of TCS is in the name of **Tata Consultancy Services Limited**.
- It states that the company is **limited by shares**.
- The registered office of TCS is situated in the **State of Maharashtra**.
- The object clause explains the purposes for which TCS was established.
- TCS was formed to provide consultancy services in software and hardware systems.
- Its objects also include data processing, information systems, and data communication services.
- TCS was incorporated on **19 January 1995** with CIN **L22210MH1995PLC084781**.
- Thus, the MOA acts as the legal foundation for the structure and business activities of TCS.



AOA OF TCS

THE COMPANIES ACT, 1956
COMPANY LIMITED BY SHARES
ARTICLES OF ASSOCIATION

OF
TATA CONSULTANCY SERVICES LIMITED

1. The regulations contained in Table "A", in the first Schedule to the Companies Act, 1956, shall not apply to this Company, but the regulations for the management of the Company and for the observance of the members thereof and their representatives shall, subject to any exercise of the statutory powers of the Company in reference to the repeal or alternation of, or addition to, its regulations by Special Resolution, as prescribed by the said Companies Act, 1956 be such as are contained in these Articles. Table "A" not to apply but Company to be governed by these Articles
2. In the interpretation of these Articles, the following expressions shall have the following meanings, unless repugnant to the subject or context :- Interpretation
- (a) "The Act" or "the said Act" means "The Companies Act, 1956" or any statutory modification thereof, for the time being in force. The Act or the said Act
- (b) "These Articles" means these Articles of Association as originally framed or as from time to time altered by Special Resolution. These Articles
- (c) "Beneficial Owner" means the beneficial owner as defined in clause(a) of sub-section (1) of Section 2 of the Depositories Act, 1996. Beneficial Owner
- (d) "The Company" or "this Company" means TATA CONSULTANCY SERVICES LIMITED. The Company or this Company
- (e) "The Directors" means the Directors for the time being of the Company or as the case may be, the Directors assembled at a Board. The Directors
- (f) "Depositories Act, 1996" includes any statutory modification or re-enactment thereof Depositories Act, 1996
- (g) "Depository" means a Depository as defined under clause (e) of sub-section (1) of Section 2 of the Depositories Act, 1996. Depository
- (h) "The Board," or the "Board of Directors" means a meeting of the Directors duly called and constituted or as the case may be the Directors assembled at a Board, or the requisite number of Directors entitled to pass a circular resolution in accordance with the Act. The Board or Board of Directors
- (i) "The Chairman" means the Chairman of the Board of Directors for the time being of the Company. The Chairman

- The Articles of Association (AOA) is an important legal document of the company.
- It contains the rules and regulations for the internal management of the company.
- The AOA of TCS is in the name of **Tata Consultancy Services Limited**.
- It is framed under the provisions of the **Companies Act, 1956**.
- The AOA explains how the company is governed and managed internally.
- It includes provisions relating to directors, board meetings, and decision-making powers.
- It also defines important terms used in the company's internal administration.
- The AOA regulates the relationship between the company and its members.
- TCS was incorporated on **19 January 1995** with CIN **L22210MH1995PLC084781**.



FINANCIAL PERFORMANCE ANALYSIS OF TCS

Based on Financial Statements and Annual Reports, FY2023–FY2025.

- Company name: Tata Consultancy Services Ltd.
- TCS is a global IT services and consulting company with FY2024 revenue of ₹240,893 crore.
- TCS is an IT services, consulting and business solutions company operating in 54 countries.
- Employee count: 601,546 in FY2024.
- FY2024 consolidated revenue: US\$29.1 billion / ₹240,893 crore.
- Main focus: digital transformation, cloud, AI, business solutions



Item	Content
Company	Tata Consultancy Services Ltd. <u>tcs</u>
Topic	Financial Performance Analysis <u>tcs</u>
Period Covered	FY2023 to FY2025 equitymaster+1
Source	Annual Reports and Financial Statements tcs+1

Item	Value
FY2025 Revenue	US\$30 billion milestone tcs+1
Employee Headcount	607,979 <u>tcs</u>
Countries / Nationalities	152 nationalities <u>tcs</u>
FY2025 Operating Margin	24.3% <u>tcs</u>

TCS is one of the largest IT services companies in India and crossed the US\$30 billion revenue milestone in FY2025.

The presentation studies revenue, profit, expenses, assets, liabilities, cash flow, and key financial ratios

Revenue and Profit Snapshot

Year	Revenue / Net Sales	Net Profit Margin
FY2023	₹225,458 crore equitymaster	18.8% equitymaster
FY2024	₹240,893 crore equitymaster	19.1% equitymaster
FY2025	₹255,324 crore equitymaster	19.0% tcs

Margin and Growth Snapshot

Metric	FY2024	FY2025
Revenue Growth	6.8% equitymaster	6.0% equitymaster
Operating Margin	26.3% equitymaster	26.4% equitymaster
Net Margin	19.1% equitymaster	19.0% tcs

TCS showed steady revenue growth across all three years.

Profit margins remained strong and stable, showing resilience in operations.

Revenue Performance

Net Sales Trend

Year	Net Sales (₹ crore)
FY2023	225,458 equitymaster
FY2024	240,893 equitymaster
FY2025	255,324 equitymaster

Total Revenue Trend

Year	Total Revenue (₹ crore)
FY2023	229,068 equitymaster
FY2024	245,315 equitymaster
FY2025	259,286 equitymaster

Net sales and total revenue both moved upward over the 3-year period.
This indicates sustained top-line growth and steady demand for TCS services.

Profit Performance

Operating Profit

Year	Operating Profit (₹ crore)
FY2023	59,098 equitymaster
FY2024	63,338 equitymaster
FY2025	67,407 equitymaster

Net Profit and Margin

Year	Net Profit Margin	Observation
FY2023	18.8% equitymaster	Strong profitability equitymaster
FY2024	19.1% equitymaster	Improved from FY2023 equitymaster
FY2025	19.0% tcs	Stable at high level tcs

Expense Analysis

FY2024 Income Statement Components

Item	FY2024 (₹ crore)
Net Sales	240,893 equitymaster
Other Income	4,422 equitymaster
Total Revenue	245,315 equitymaster
Depreciation	4,985 equitymaster

FY2025 Income Statement Components

Item	FY2025 (₹ crore)
Net Sales	255,324 equitymaster
Other Income	3,962 equitymaster
Total Revenue	259,286 equitymaster
Depreciation	5,242 equitymaster

Assets and Investment Position

Key Asset Items

Item	Mar 2024	Mar 2025
Cash & Cash Equivalents	9,016 <u>tcs</u>	8,342 <u>tcs</u>
Bank Deposits	3,799 <u>tcs</u>	6,215 <u>tcs</u>
Investments	31,481 <u>tcs</u>	30,689 <u>tcs</u>

Total Cash and Investments

Item	Value
Total Cash and Investments FY2025	500,200 Mn <u>tcs</u>
Free Cash Flow FY2025	\$5.49 Bn <u>tcs</u>
Shareholder Payout FY2025	\$5.26 Bn <u>tcs</u>

TCS maintained a strong liquidity position with large cash and investment balances. The company also generated substantial free cash flow in FY2025

Cash Flow Performance

Cash Flow Efficiency

Metric	FY2024	FY2025
Operating Cash Flow to Net Income	100.4% <u>tcs</u>	125.1% <u>tcs</u>
Operating Cash Flow to Sales	20.4% <u>tcs</u>	23.7% <u>tcs</u>

Cash Use Indicators

Metric	FY2025
Free Cash Flow	\$5.49 Bn <u>tcs</u>
Shareholder Payout	\$5.26 Bn <u>tcs</u>
Final Dividend Proposed	₹30 per share <u>tcs</u>

Cash conversion improved sharply in FY2025, showing strong operational efficiency. TCS returned a large share of cash to shareholders through dividends and payouts

Ratio Analysis

Required Ratios

Ratio	FY2024	FY2025
Net Profit Margin	19.1% <u>equitymaster</u>	19.0% <u>tcs</u>
Debt-to-Equity	0.0 <u>equitymaster</u>	0.0 <u>equitymaster</u>
Current Ratio	Use statement values to calculate <u>tcs</u>	Use statement values to calculate <u>tcs</u>
Asset Turnover	Use revenue / total assets <u>equitymaster+1</u>	Use revenue / total assets <u>equitymaster+1</u>

Ratio Interpretation

Ratio	Meaning	TCS Position
Net Profit Margin	Profit earned from revenue	Strong <u>equitymaster+1</u>
Current Ratio	Short-term liquidity	Healthy <u>tcs</u>
Asset Turnover	Asset efficiency	Good <u>equitymaster+1</u>
Debt-to-Equity	Solvency leverage	Very low debt <u>equitymaster</u>

Comparative Financial Analysis

FY2024 vs FY2025 Comparison

Metric	FY2024	FY2025
Net Sales	240,893 equitymaster	255,324 equitymaster
Total Revenue	245,315 equitymaster	259,286 equitymaster
Operating Profit	63,338 equitymaster	67,407 equitymaster

Growth Comparison

Metric	% Change FY2025 over FY2024
Net Sales	6.0% equitymaster
Total Revenue	5.7% equitymaster
Operating Profit	6.4% equitymaster

TCS improved all major top-line and operating metrics in FY2025.

Growth remained moderate but stable, which is a sign of maturity and consistency.

Key Findings and Conclusion

Key Findings

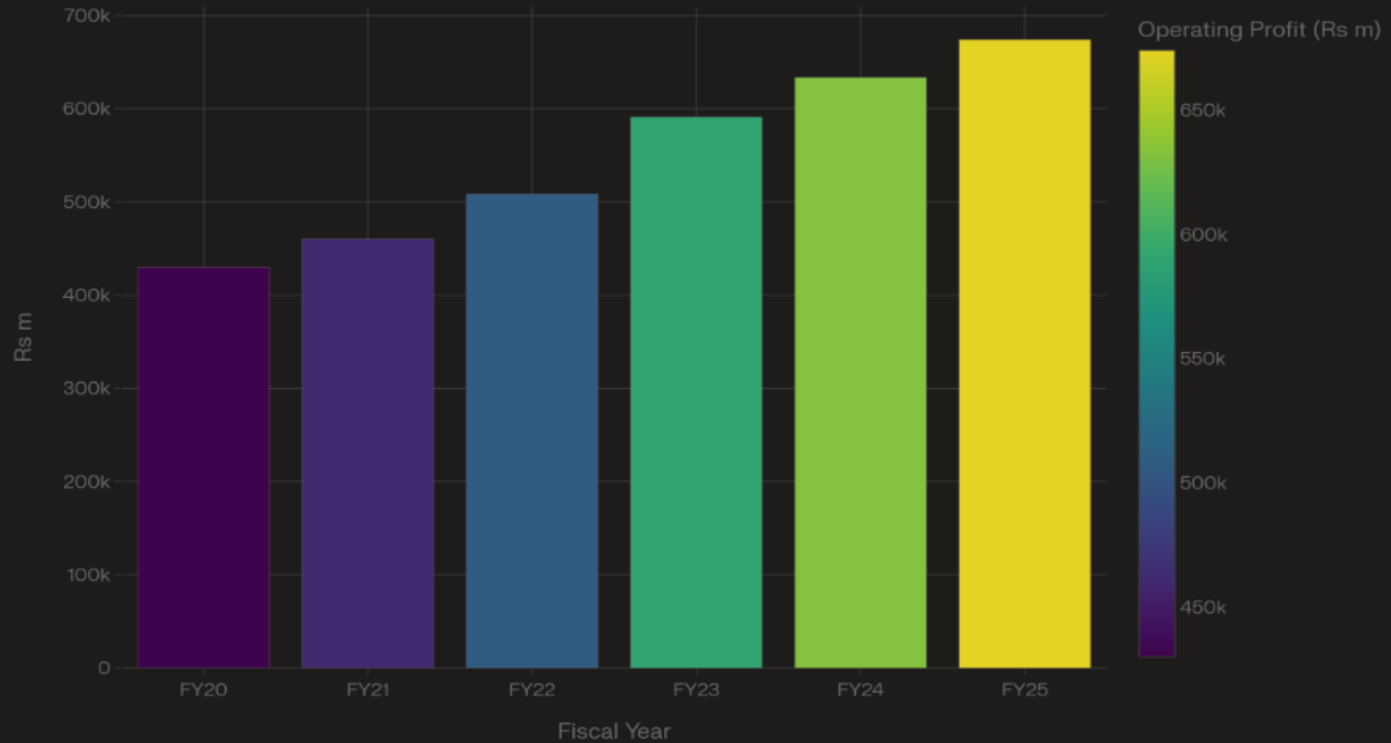
Area	Finding
Revenue	Continuous upward trend equitymaster+1
Profitability	Net margin around 19% equitymaster+1
Cash Flow	Strong conversion and payout <u>tcs</u>
Solvency	Negligible debt <u>equitymaster</u>

Conclusion

Point	Conclusion
Financial Strength	Strong equitymaster+1
Liquidity	Healthy <u>tcs</u>
Efficiency	Good operational control <u>tcs</u>
Long-term Outlook	Stable and resilient tcs+1

TCS Operating Profit (FY20-FY25)

Powered by  perplexity

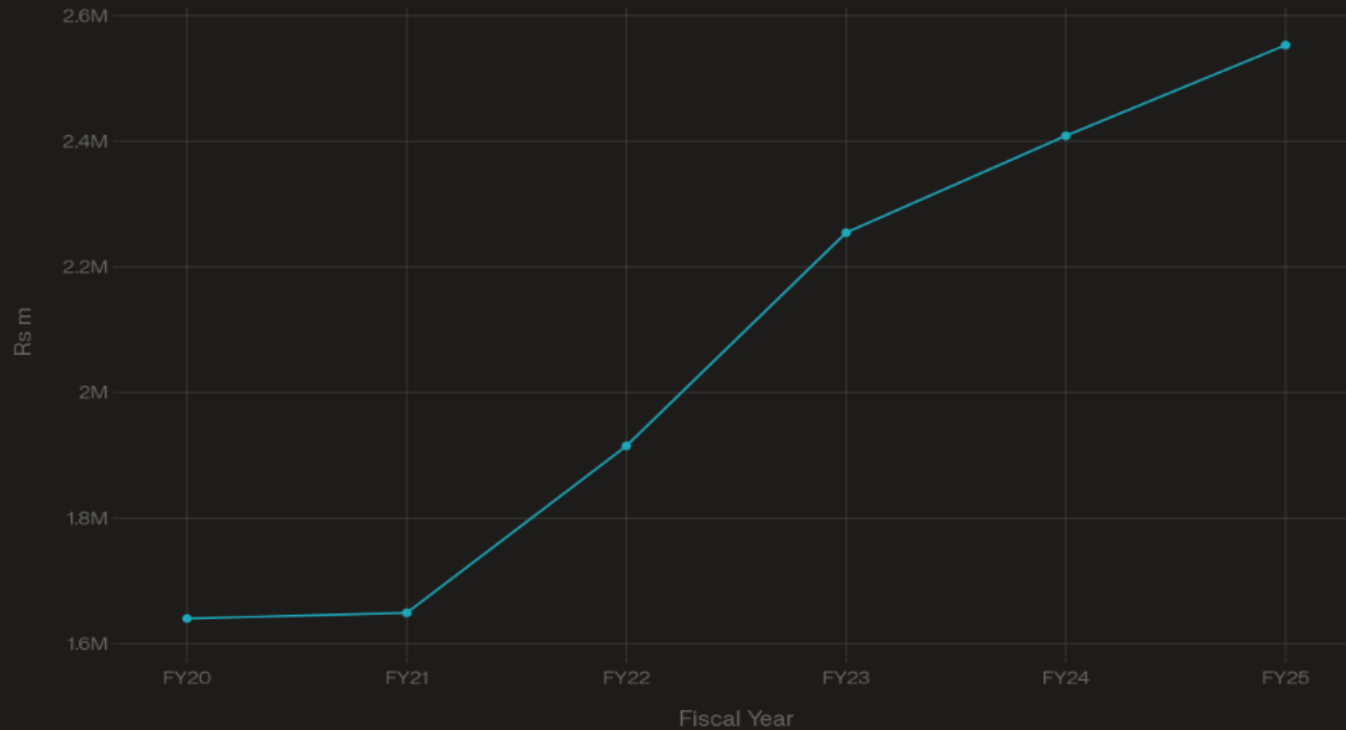


Tcs Profit
Chart



TCS Net Sales Growth (FY20-FY25)

Powered by  perplexity



Tcs Revenue
Chart



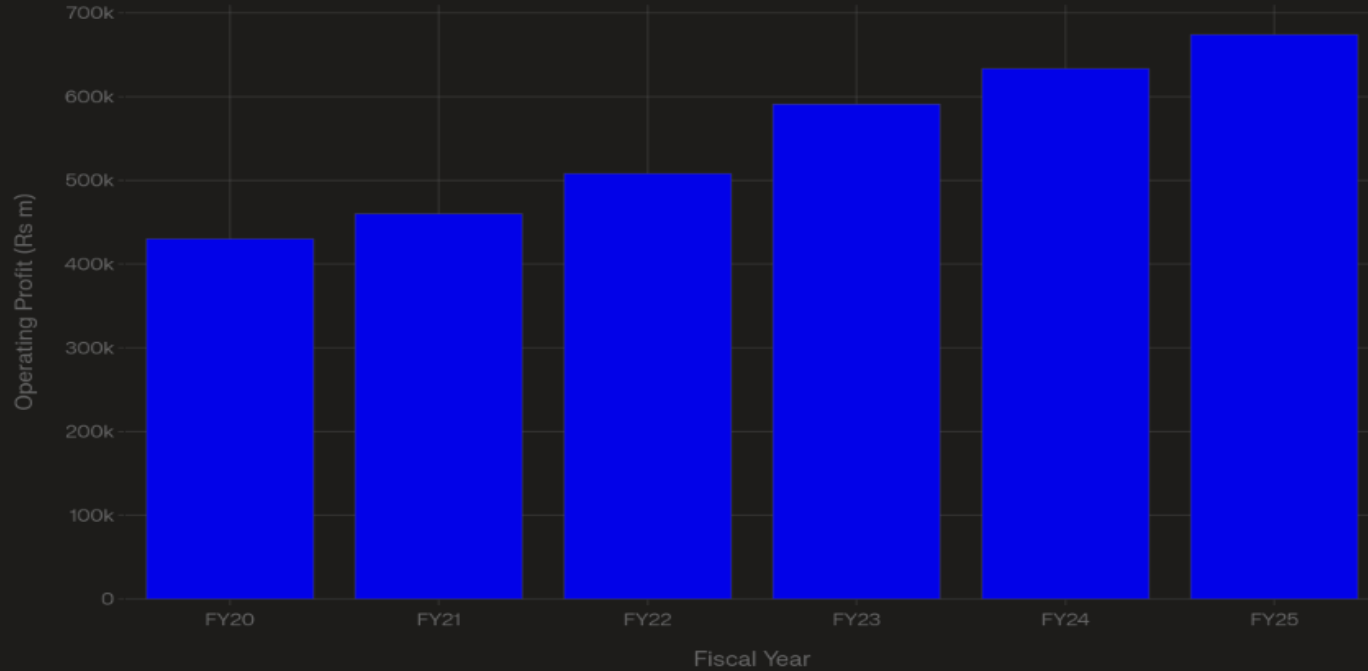
TCS CASH FLOW

FY	Operating CF (Rs m)	Net Cashflow (Rs m)
FY21	388020	-17880
FY22	399490	56300
FY23	419650	-53650
FY24	443380	18930
FY25	489080	-6740

TCS Operating Profit FY20-FY25

Margins stable ~26% | Source: Equitymaster Analysis

Powered by  perplexity



Profit Bars
Chart



SHAREHOLDING PATTERN OF TCS

Tata Consultancy Services Ltd.

Stock Card ↓



₹2,579.60 ▼ ₹-1.90 (-0.07%)

As on 20-Apr-2026IST

Technology | Software & Services - Diversified

Market cap ⓘ

₹9,32,906 Cr

Revenue (TTM) ⓘ

₹2,67,021 Cr

P/E Ratio ⓘ

19

P/B Ratio ⓘ

8.7

Div. Yield ⓘ

4.3 %

Category	Dec 2025
Promoters	71.77% upstox+1
FII's	10.37% upstox+1
Other Domestic Institutions	7.35% <u>upstox</u>
Mutual Funds	5.52% <u>upstox</u>
Retail & Others	4.99% upstox+1

Promoter holding in TCS remained stable at 71.77%, while FII holding declined and domestic institutional/mutual fund participation increased over recent quarters.”

TCS STOCK SNAPSHOT AND INVESTOR DATA

Shareholder Type	Dec-25	Sep-25	Jun-25	Mar-25	Dec-24
Indian Promoter	71.77	71.77	71.77	71.77	71.77
DII's	7.35	7.11	6.87	6.55	6.58
Mutual Fund	5.52	5.59	5.13	5.00	4.32
FII's	10.37	10.33	11.48	12.04	12.68
Others	4.99	5.20	4.75	4.64	4.65

Shareholding Pattern

The chart illustrates the distribution of TCS shares among different investor categories over time. The Indian Promoter consistently holds the majority of shares, around 72%. FII's and DII's also hold significant portions, while Mutual Funds and Other investors hold smaller shares. The data is as follows:

Shareholder Type	Dec-25	Sep-25	Jun-25	Mar-25	Dec-24
Indian Promoter	71.77	71.77	71.77	71.77	71.77
DII's	7.35	7.11	6.87	6.55	6.58
Mutual Fund	5.52	5.59	5.13	5.00	4.32
FII's	10.37	10.33	11.48	12.04	12.68
Others	4.99	5.20	4.75	4.64	4.65

Metric	Value
Market Cap	₹9,32,906 Cr WhatsApp-Image-2026-04-20-at-7.03.05-PM-3.jpg
Revenue (TTM)	₹2,67,021 Cr WhatsApp-Image-2026-04-20-at-7.03.05-PM-3.jpg
P/E Ratio	19 WhatsApp-Image-2026-04-20-at-7.03.05-PM-3.jpg
P/B Ratio	8.7 WhatsApp-Image-2026-04-20-at-7.03.05-PM-3.jpg
Dividend Yield	4.3% WhatsApp-Image-2026-04-20-at-7.03.05-PM-3.jpg ticker.finology

TCS remains one of India's largest IT companies with strong market capitalization and regular dividend payout.

FUNDAMENTAL AND TECHNICAL ANALYSIS OF TCS

Fundamental analysis of TCS

- TCS is financially strong with **zero long-term debt**, a **current ratio of 2.3 in FY25**, and **return on equity of 51.5%**, which shows high financial stability and efficient use of shareholder funds.
- The company reported **net profit growth of 5.9% in FY25**, while maintaining a **net profit margin of about 19.1%** and strong profitability in its core IT services business.
- TCS also continues to reward investors through dividends, with total dividend payout for FY2025 reported at **₹126 per share**, which supports valuation quality.
- Because of strong profitability, debt-free status, and high ROE, TCS deserves a premium valuation, so its fair value can be placed in the range of **₹2,500 to ₹2,700 per share**.



Technical analysis of TCS

- On 20 April 2026, TCS was trading around **₹2,581**, with intraday movement between **₹2,556 and ₹2,589**.
- Important support levels are **₹2,562, ₹2,542, and ₹2,529**, while resistance levels are **₹2,595, ₹2,609, and ₹2,628**.
- The 50-day moving average is about **₹2,625**, and the 200-day moving average is about **₹3,008**, showing that the stock is still below long-term average levels and facing resistance near the current zone.
- In the short term, TCS is likely to move in a band of **₹2,500 to ₹2,630**, unless it breaks above resistance or falls below support



ESTIMATED MARKET PRICE PER SHARE

Basis	Estimated Range
Fundamental value	₹2,500–₹2,700 equitymaster+1
Technical range	₹2,500–₹2,630 5paisa+1
Current market price	Around ₹2,580–₹2,595 5paisa+1

Final estimate:

Combining both methods, the estimated near-term market price of TCS share is **₹2,550 to ₹2,650 per share**.

This means the stock appears **fairly valued**, with limited upside in the short term unless business growth or investor sentiment improves

MY INVESTMENT DECISION ON TCS BASED ON RATIO ANALYSIS AND PEER COMPARISON

1. What Value Research and ratios say about TCS

From Value Research and other ratio sources:

- **Valuation:** TCS trades at about **P/E $\approx$ 19–22x**, **P/B $\approx$ 8.7–10.5x**, and **dividend yield $\approx$ 4.3%**, which is a clear premium to the median P/B of its IT peers (around 6.6x).
- **Profitability:** ROE is extremely high at about **51%**, and ROCE is around **72%**, showing that the company converts shareholder money into profits very efficiently.
- **Financial strength:** The business is **almost debt-free**, with a current ratio consistently above 2, meaning strong liquidity and low solvency risk.
- These ratios support the view that TCS is a **high-quality, low-risk IT leader**, but already priced at a premium multiple

2. Peer comparison (valuation vs quality)

- Value Research notes that TCS trades at a **P/B about 59% higher than its peer median**, so investors are paying more per rupee of book value compared with other IT stocks.
- Other research and fundamental sites show that while **Infosys and HCL Tech** have lower ROE/ROCE than TCS, they also trade at **lower P/E and P/B**, giving better value for new buyers at today's prices.
- In simple terms: **TCS = best quality, highest price; HCL/Infosys = slightly lower quality, cheaper valuation**, which matters if you are looking for upside.
- “Among large-cap Indian IT companies, TCS offers the strongest return ratios but also trades at the costliest valuation.”

MY INVESTMENT DECISION:

- I would **not do aggressive fresh buying** at the current price; instead I would hold **existing TCS shares** and consider investing on corrections.
- This is because TCS has **very strong fundamentals** (ROE $\approx$ 51%, ROCE $\approx$ 72%, **debt-free, high dividend yield**) but its **valuation ratios** (P/E and P/B) are already **higher than the peer group, as shown on Value Research.**
- For a **long-term conservative investor**, TCS is suitable because of its high profitability, strong balance sheet, and steady dividends
- For someone seeking **maximum upside**, peers like HCL Tech currently offer better value because their intrinsic-value estimates are closer to or below market price, while TCS trades at a premium to peer valuation.
- “TCS is fundamentally strong and suitable for conservative, long-term investors, but at current valuations it is better to **hold or buy on dips** rather than take an aggressive new position.”

*THANK
YOU*

